Upstox-Case study

Upstox: Getting KYC-Complete Users to Their First Investment

Product case study by Sudiksha Gupta · Independent concept work

> **In one line:** Upstox pays to bring users through KYC, but many never place a first trade. A beginner mode with a guided starter SIP and one-tap UPI fund-add turns sign-ups into investors.

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1. Context

- Upstox is one of India's largest investing platforms and has crossed 2 crore customers.
- Industry-wide, NSE active clients fell 7.1% to 4.57 crore in FY26 from 4.92 crore in FY25, and Upstox's own active client count declined in the same year.
- Acquisition is no longer the bottleneck. Activation and engagement are.

Why it matters: every user who finishes KYC but never invests carries the full cost of acquisition and verification, with zero revenue.

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2. Problem

Example user: Arjun, 23, first job, Pune

Why he signed up	A friend's referral and an ad about investing early
What he completed	Full KYC, bank linked
What he sees next	A home screen of charts, F&O and market movers
What he does	Feels out of depth, closes the app, never invests

Arjun wanted to "start investing". The app showed him a trading terminal.

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3. Insights

- **The first screen is built for active traders.** Charts, option chains and intraday movers dominate. Beginners don't know where to start.
- **Adding money takes several steps.** Fund-add, then choosing a product, then placing an order is a long chain for a nervous first-timer.
- **The first investment feels risky.** Without a safe, small, obvious first step, users postpone it indefinitely.
- **Beginners want guidance, not features.** A clear recommended path matters more than choice.

To validate: KYC-complete users with zero orders after 7 and 30 days; drop-off between fund-add start and completion; session recordings of first visits after KYC.

4. Hypothesis

If new users who say they're beginners get a simplified home screen with one guided first step (a small SIP in a broad index fund) and one-tap UPI fund-add, more KYC-complete users will make a first investment within seven days.

5. Competitive landscape

	Upstox today	Beginner-focused apps
Primary home screen	Market and trading focus	Mutual funds and simple investing first
First-investment guidance	Limited	Strong
Fund-add to first order	Multiple steps	Fewer steps
Advanced trading tools	Strong	Lighter

Takeaway: Upstox's trading strength is right for active users but wrong for day one. It needs a beginner path without losing its power users.

6. Solution

Priority	Feature	What it does
High	"New to investing?" question	One tap at the end of onboarding switches on beginner mode
High	Guided starter SIP	Recommends a broad index fund SIP at a small amount, explained in plain words
High	One-tap UPI fund-add	Pre-fills the SIP amount and completes funding in one step
Medium	First-investment checklist	Three steps: fund, start SIP, see your portfolio
Medium	Graduate to full app	After a first investment, unlock stocks and other tools gradually, with a clear switch to the full app anytime

User flow

1. After KYC: "Are you new to investing?" → Yes.
2. Beginner home shows one card: "Start with ₹500 a month in a Nifty 50 index fund".
3. User taps "Start", sees what the fund is in two lines, and confirms.
4. UPI fund-add opens with the amount pre-filled, then the user approves.
5. Confirmation: "You're an investor. Your first SIP runs on the 5th."
6. Over the next weeks, the app introduces stocks and other products step by step.

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7. Success metrics

Metric	Target
KYC-to-first-investment rate within 7 days	Primary metric
Median time from KYC to first investment	Decrease
SIP still active after 90 days	Increase
Fund-add completion rate	Increase

Metric	Target
New users trading F&O in their first month	Guardrail: no increase

8. Risks and trade-offs

Risk	Mitigation
Feels patronising to experienced users	Beginner mode is opt-in, with a visible switch to the full app
Recommending a fund looks like advice	Use a broad, low-cost index fund default and plain disclosures; review with compliance
Lower early revenue from SIPs than trades	Track 90-day value; activated users trade more later
Users stay in beginner mode forever	Gradual graduation prompts after milestones

9. Rollout

1. **Test:** A/B test the beginner question and starter SIP card on new KYC-complete users.
2. **Measure:** 7-day first-investment rate and 90-day SIP retention against control.
3. **Expand:** add the checklist and graduation path; then re-engage existing dormant KYC users.

10. Conclusion

Upstox has already won the sign-up. The gap is the first investment. Giving beginners one safe, obvious first step, and making funding effortless, can turn dormant accounts into long-term investors without changing anything for the traders Upstox already serves well.

Sources: Upstox press release on crossing 2 crore customers; Business Today on FY26 active client trends (April 2026). Figures and user examples are illustrative. Verify current app flows before publishing.